CHAPTER 9: SECRETS OF AN 18,000-BAGGER

If people weren't so often wrong, we wouldn't be so rich.
— Charlie Munger at the 2015 Berkshire Hathaway annual meeting

ALONG WITH MORE THAN 40,000 OTHER PEOPLE, I WAS in Omaha, NE, for the Berkshire annual meeting, which also celebrated the 50th anniversary of the company.

Here Warren Buffett (age 84) and Charlie Munger (age 91) held court. The two super investors answered questions from the audience and opined on just about everything. Berkshire Hathaway is a must study for any investor, whatever you think of Warren Buffett the man.

The stock has risen more than 18,000-fold, which means $10,000 planted there in 1965 turned into an absurdly high $180 million 50 years later.

How the old buzzard did it is the subject of a mini library of books. The latest is *The Warren Buffett Philosophy of Investment*, by Elena Chirkova.

Chirkova's book is notable because she wrote it in Russian and published it in Russia, where it became a bestseller. Chirkova is an associate professor of finance in Moscow.

It's tough to hoe fresh ground in Buffett-land, but she does a great job with one key point most people overlook. And that's Berkshire's use of leverage.

"The amount of leverage in Berkshire's capital structure amounted to 37.5% of total capital on average," Chirkova writes. That would surprise most people.

This leverage came from insurance float. Buffett owned, and still